

KPI Steering & Monitoring Framework

Customer Churn Retention Strategy

From analytical findings to measurable retention performance

1. Objective

The analysis shows that churn is not evenly distributed across the customer base. It is particularly concentrated among recently acquired customers on Month-to-month contracts, using Fiber Optic Internet and paying by Electronic Check.

The following KPIs are therefore not intended to further describe the problem. Their purpose is to help the company prioritise retention interventions, monitor execution and measure whether the selected actions improve retention over time.

2. Steering KPIs

These indicators answer the operational question: where should management focus attention, and do the identified priority populations remain areas of concern?

KPI 1 — Overall Churn Rate

Definition / Formula: Churned customers / Total customers × 100

Baseline: 26.54%

Business purpose: Provides the overall retention baseline and enables comparison between customer segments.

Recommended frequency: Monthly

KPI 2 — Priority Segment Churn Rate

Definition / Formula: Churned customers in the priority segment / Customers in the priority segment × 100

Baseline: 71.16%

Business purpose: Primary steering KPI. Tracks the segment combining Month-to-month + Fiber Optic + Electronic Check + tenure 0–12 months, where observed churn is most concentrated.

Recommended frequency: Monthly

KPI 3 — New Customer Churn Rate (0–12 Months)

Definition / Formula: Churned customers with tenure 0–12 months / Customers with tenure 0–12 months × 100

Baseline: 47.44%

Business purpose: Measures retention performance during the most vulnerable stage of the customer lifecycle and supports evaluation of early-life onboarding actions.

Recommended frequency: Monthly

KPI 4 — Fiber Optic Churn Rate

Definition / Formula: Churned Fiber Optic customers / Total Fiber Optic customers × 100

Baseline: 41.89%

Business purpose: Monitors the high-churn Fiber Optic population and should be interpreted alongside operational indicators such as service quality, incidents, complaints, support interactions and price-value perception.

Recommended frequency: Monthly

3. Post-Action Monitoring KPIs

These indicators answer a different question: are the selected retention actions being adopted and are they producing the expected business outcome?

KPI 5 — Month-to-Month to Long-Term Contract Migration Rate

Formula: Targeted Month-to-month customers migrated to One-year or Two-year contracts / Total targeted Month-to-month customers × 100

Baseline: To be established at pilot launch

Business purpose: Measures adoption of the recommended contract-migration intervention. Migration alone is not sufficient; subsequent retention outcomes must also be monitored.

Recommended frequency: Monthly

KPI 6 — Priority Segment Churn Reduction

Formula: (Initial churn rate – Post-intervention churn rate) / Initial churn rate × 100

Baseline: Initial baseline: 71.16%

Business purpose: Final impact KPI. Measures whether interventions generate a quantifiable improvement in retention within the priority segment.

Recommended frequency: Monthly monitoring with quarterly consolidated review

Illustrative interpretation: if priority-segment churn falls from 71.16% to 60.00%, the decrease is 11.16 percentage points, corresponding to an approximate 15.7% relative reduction in churn.

4. Recommended KPI Scorecard

KPI	Baseline	Role	Frequency
Overall Churn Rate	26.54%	Overall surveillance	Monthly
Priority Segment Churn Rate	71.16%	Prioritisation	Monthly
0–12 Month Customer Churn	47.44%	Early-life steering	Monthly
Fiber Optic Churn Rate	41.89%	Segment surveillance	Monthly
Long - Term Contract Migration Rate	To establish	Action adoption	Monthly
Priority Segment Churn Reduction	71.16% baseline	Impact measurement	Monthly quarterly

5. KPI Selection Principle

Not every available variable should become a steering KPI. Monthly Charges, Total Charges, customer count or isolated TechSupport adoption are not automatically included simply because they exist in the dataset.

Decision → Action → Expected Result → KPI

A KPI is retained only when it has a clear role in this decision chain and can support an operational or management response.

6. Methodological Safeguard

The observed 28.05% churn rate among Fiber Optic customers with both TechSupport and OnlineSecurity should not be converted directly into a performance target. The analysis identifies an association, not a demonstrated causal effect.

The proposed Support + Security bundle should therefore be tested through a controlled pilot. If implemented, adoption can be monitored as an execution indicator, while the primary outcome should remain the difference in retention between comparable targeted and non-targeted groups.

7. Management Conclusion

The proposed framework converts the analysis into a closed performance-management loop:

Identify → Prioritise → Intervene → Measure → Compare → Adjust

The success of the retention strategy should not be judged by the number of actions launched, but by their ability to generate a measurable reduction in churn among the populations they are designed to influence.

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